Meridian Actuarial Advisors LLC

www.meridianactuarial.com

April 7, 2023

Lisa Hubbard
Chief Operating Officer
Wells, Walsh and Martinez

Dear Lisa:

Thank you for the time you gave us over the past several weeks. We learned a good deal about the company's pension plan in those conversations, and we are glad that Wells, Walsh and Martinez has asked us to do this work. You told us that contributions to the plan have been decided one year at a time, with no written rule behind them, and that the company's budget has had to absorb the result. A funding policy gives those decisions a footing. Below we have put in writing what we understand the study to be and the terms on which we will do it.

The question we have been asked

The question is how much the company should put into the plan each year, and by what rule. The law sets a minimum contribution. It also limits the deduction for contributions above a certain level. Between those bounds the choice belongs to the company, and our part is to help it make that choice on purpose and write it down.

We see the study in four parts.

1. We will review the plan's recent funding history: what was contributed, when it was deposited, and how each contribution compared with the minimum the law required and the most it allowed as a deduction.

2. We will work with you to state the company's objectives for the policy in writing. A steadier budget, the cost of PBGC premiums, and the plan's funded level are the ones you have raised so far. We will not model any alternative until you have confirmed the list.

3. We will project contributions, funded status, and PBGC premiums over a span of future years, under the current practice and under alternative policies. Each policy will be tested under more than one set of economic conditions.

4. We will recommend a policy in a written report, set out the risks that come with it and with each alternative, and meet with you to go through the report.

Some related work is outside this letter. We have not been asked to value the plan for the current year, to prepare figures for the company's financial statements, to advise on how the plan's assets are invested, or to propose changes to the benefits. If you want any of these, we will propose it separately.

What we will work from

A projection starts from where the plan stands today. We will build ours from the most recent actuarial valuation and the information behind it. So that your staff can begin gathering files, these are the items we will need first:

1. The most recent valuation report and the participant data used to prepare it.

2. The plan document and each amendment adopted since that valuation.

3. Trust statements showing assets, contributions, benefit payments, and expenses for the most recent plan years.

4. A record of each contribution the company has made in recent years, with the amount and the date it was deposited.

5. The plan's current investment policy statement.

We will rely on these materials without auditing them. We will check them for completeness and for consistency with one another. If we find a problem, we will tell you what it is and what we did about it, and the report will record it.

The standards we work under

We will perform the study in accordance with the Actuarial Standards of Practice that apply to it. Those that bear most directly are ASOP No. 4, on measuring pension obligations and determining contributions; No. 51, on assessing and disclosing risk; No. 56, on modeling; No. 23, on data quality; and No. 41, on actuarial communications.

A projection is not a forecast. Ours will depend on assumptions about investment returns, interest rates, and the people in the plan, and actual experience will differ from every one of them. The report will say which results come from the data, which come from assumptions, and which are our judgment.

Where our recommendation depends on a particular assumption, the report will say so in a paragraph of its own, so that the company can see what would change if that assumption proves wrong.

Who will do the work

I will lead the study, review each stage of the work, and sign the report. Michelle Banks, an Actuarial Associate, will check the data and the benefit calculations, and she will be the person your staff hear from about files. David Sherman, a Senior Analyst, will build the projection model and run each policy through it.

You will hear from Michelle and David most often. If anything about the work concerns you, I would like you to call me.

Start date and fee

We will begin on April 17, 2023. We expect the study to run about four months. How quickly the data arrive, and how long it takes us to agree the objectives with you, will decide most of that.

Our fee for the study this letter describes is $32,500. It is a fixed fee.

Fees and payment

We will bill monthly for the work done in the month, and the total billed will not exceed the fixed fee. Invoices are payable within thirty days. Any further scenarios or meetings beyond those described here will be agreed with you in writing before we start them, and billed at our standard hourly rates.

Term and termination

The engagement begins on the start date above and ends when we have delivered the final report and met with you to discuss it. Either of us may end it sooner by written notice to the other. If that happens, the company will pay for the work done through the date of the notice, and we will send you a written account of where the work stood.

Confidentiality

The participant data will contain personal information about the company's employees, former employees, and their beneficiaries. We will keep it on systems with restricted access, use it only for this study, and not disclose it outside our firm without your written consent unless the law requires us to. The report is prepared

for Wells, Walsh and Martinez and for the plan. You may share it with the plan's auditors and advisers, but no one else may rely on it without our written consent.

Limitation of liability

We will do the work with the care and skill expected of a qualified actuary. We are not responsible for errors that arise from data or information given to us that was incomplete or inaccurate. Our total liability arising from this engagement is limited to the fees paid to us under this letter, except where the law does not allow such a limit.

Governing law

This letter is governed by the laws of the state where our principal office is located.

Please read the letter through. If it matches what we discussed, sign it below on behalf of Wells, Walsh and Martinez and return a copy to me. If any part reads differently from your understanding, call me before you sign and we will put it right. When the signed copy comes back, Michelle Banks will send you the data request.

We are looking forward to working with you and your colleagues.

Yours truly,

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Robert Lawrence
Managing Actuary
Date: April 7, 2023

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Lisa Hubbard
Chief Operating Officer, Wells, Walsh and Martinez
Date: April 7, 2023